

TECHNOLOGY ENTREPRENEURSHIP (ENT600)

UNIT 10 & 11 : GROWTH AND EXIT STRATEGIES



INTRODUCTION TO GROWTH & EXIT STRATEGIES

- **Growth strategies**

- Businesses that survive the critical embryonic period will have to address issues of growth in order to remain competitive
- This is done by selecting and implementing suitable growth strategies

- **Exit strategies**

- Entrepreneurs may choose to exit or end a business for various reasons
- Careful selection and implementation of strategies is important in order to ensure a gainful exit

INTRODUCTION TO BUSINESS GROWTH

- Businesses that survive the critical embryonic period may experience growth in several ways
- The growth period of a business is often manifested by:
 - An increase in demand of its existing products
 - An expansion and development of new markets
 - A complete diversification into new products and new markets

IMPLICATIONS OF GROWTH

- Growth will challenge a business's capabilities and resources. Stock and supply of physical resources such as raw materials and accessories need to be planned in order to cushion future shortcomings
- Growth may create pressure on human resources. Employee morale and motivation may be affected due to over stretch in work or under pay. Growth therefore may lead to resistance to change
- Growth may require the business to be restructured to facilitate management efficiency

GROWTH STRATEGIES

- Ansoff (1965) developed a growth strategy matrix based on:
 - Existing or new products
 - Existing or new markets
- Based on the two dimensions of product and market, ansoff identified four main growth strategies:
 - Market penetration
 - Market development
 - Product development
 - Diversification

ANSOFF GROWTH STRATEGIES

Market	New	Market Development	Diversification
	Existing	Market Penetration	Product Development
		Existing	New
		Product	

MARKET PENETRATION STRATEGY

- Market penetration seeks to increase market share for existing products or services in existing markets
- This could be achieved through intensive marketing efforts

MARKET PENETRATION STRATEGY

- Market penetration is especially effective when:
 - Current markets are not yet saturated
 - Current customers' usage can be increased
 - Market shares of major competitors are on the decline, but industry sales are increasing
 - Increased economies of scale provide competitive advantage
 - Historically, sales and marketing expenditures are highly and positively correlated

MARKET DEVELOPMENT STRATEGY

- Market development strategy involves introducing present products or services to new groups of customers
- These new groups of customers may come from new geographical areas, or they may come from a different demographic market
- Market development may also go beyond national boundaries
- Market development reduces the overall risks associated with fluctuations of demand in existing market

MARKET DEVELOPMENT STRATEGY

Market development can be most effective as a growth Strategy when:

- New untapped or unsaturated markets exist
- New channels of distribution are available that are reliable, inexpensive, and of good quality
- Business has the needed capital and human resources to manage expanded operations
- Business has excess production capacity
- The business' basic industry is rapidly becoming global in scope

PRODUCT DEVELOPMENT STRATEGY

- Product development strategy involves increasing sales by improving or modifying present products or services

PRODUCT DEVELOPMENT STRATEGY

Product development may be best employed when:

- A business has successful products that are in the maturity stage of the product life cycle
- A business operates in an industry that is characterized by rapid technological development
- A business operates in a high-growth industry
- Major competitors offer better quality products at comparable prices
- A business has strong R&D capabilities

DIVERSIFICATION STRATEGY

- Diversification strategy involves branching out into new products and new territories
- Businesses diversify for the following reasons:
 - Being in a single industry can be very risky
 - New technologies, new products or fast-changing consumer preferences can destroy a particular business

TYPES OF DIVERSIFICATION STRATEGY

Related diversification strategy

- Refers to a situation whereby a business diversifies into another area that is strategically fit with the existing business. Related diversification is meant to allow the business to capitalize on synergies as follows:
 - The transfer and share of valuable expertise, technological know-how and other competitive capabilities
 - To consolidate the related activities into a single operation to achieve lower costs
 - To capitalize on a well-established brand name

TYPES OF DIVERSIFICATION STRATEGY

Unrelated diversification strategy

- Refers to a situation whereby a business diversifies into another area that is totally different from the existing business activities. Unrelated diversification may be carried out:
 - In order to distribute and spread the risks of doing business across different industries
 - When the business is currently operating in an unattractive industry and there is a need to look for other possibilities

IMPLEMENTING GROWTH STRATEGIES: ACQUISITION

- One method to implement growth strategies is through the process of acquisition
- Acquisition is growth through gaining control over other businesses
- Acquisition can be either through vertical, lateral or horizontal integration
- Acquisition is considered an alternative to organic growth that refers to growth from within the company

TYPES OF ACQUISITION

There are three types of acquisition

- **Vertical integration**
 - **Forward integration**- gaining ownership or increase control over distributorship or retailers.
 - **Backward integration** - seeking ownership or increase control of firm's suppliers
- **Lateral integration** - integrate into unrelated business at the same level of value adding process as itself
- **Horizontal integration** – acquiring competitors. That is to seek ownership or increase control over competitors own business

INTRODUCTION TO BUSINESS EXIT

- There may come a time in a business life-cycle when the entrepreneur decides to exit the business or to end the business
- Business exit can be due to several reasons:
 - The decision to terminate the business operations may not be because of plummeting demand but due to reasons associated with the business owners.
 - Most business ventures ended because they have reached the declining stage of their product or the venture is operating in a declining industry and experiencing a decline in profits
- This stage sometimes is similar to the end-game strategy in chess where the player has to seriously consider reduction of forces.

EXIT STRATEGIES

- Ending a business operation cannot be done abruptly. There are numerous exit barriers that may hinder the efficient termination of a business operation.
- These exit barriers could be in the form of obligation to customers, long term contract with suppliers, financial obligation with financial institutions or high investment in fixed assets.
- There are various strategies of terminating a business operation:
 - **Retrenchment**
 - **Divestment**
 - **Liquidation**
 - **Harvesting**

EXIT STRATEGY: RETRENCHMENT

- Retrenchment occurs when a business regroups by reducing cost and asset to reverse declining sales and profits. Retrenchment include activities such as:
 - Selling off assets to raise needed cash
 - Pruning product line
 - Closing down businesses that are performing poorly
 - Reducing the number of employees
 - Declaring bankruptcy

WHEN TO USE RETRENCHMENT

- Retrenchment is best used when:
 - A business has distinctive competencies but has failed to meet its objectives
 - A business is plagued by inefficiency, low profitability, and poor employee morale
 - When a business has grown so large so quickly that major reorganization is needed

EXIT STRATEGY: **DIVESTMENT**

- Divestment, sometimes also termed as divestiture, is a strategy to end a business
- This is done cautiously by selling part of the venture for cash to be reinvested in a more promising business

WHEN TO USE DIVESTMENT

- Divestiture can be used when:
 - A business has pursued a retrenchment strategy but failed to accomplish needed improvements
 - A business needs more resources to be competitive than what the company can provide
 - When one particular division is responsible for a business's overall poor performance
 - When a division does not fit well with the rest of the business

EXIT STRATEGY: **LIQUIDATION**

- Liquidation involves the selling all of a company's assets for their tangible worth. Liquidation is a recognition of defeat
- Liquidation is undertaken when both retrenchment and divestiture have been unsuccessful
- Liquidation enables stockholders to minimize their losses

WHEN TO USE LIQUIDATION

- Liquidation may be a good strategy when:
 - There is a need to orderly raise cash to pay off creditors
 - The organization seeks to minimize losses
 - When an organization's only other alternative is bankruptcy

EXIT STRATEGY: **HARVESTING**

- Harvesting is a strategy pursued by a business in an effort to cash out and harvest the profit
- In contrast to retrenchment, divestiture and liquidation, harvesting is associated more with the owners' personal reasons for terminating the venture. These reasons may include:
 - Boredom and burnout
 - Lack of operating and growth capital
 - No heirs to leave the business to
 - Desire for liquidity
 - Aging and health problems
 - Desire to pursue other interests
- By pursuing the harvesting strategy, business owners could sell out the venture for cash at market value



thank you

